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RBI's New Credit Playbook

India needs deeper domestic capital to sustain its growth and the RBI's reforms respond to these shifts

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INDIA'S CREDIT SYSTEM is undergoing a major shift as the Reserve Bank of India (RBI) moves from a rigid stability-first stance to a more market-aligned approach by allowing banks to take on higher risk lending, such as M&A finance, leveraged buyouts (LBOs), and securities-backed loans. The regulator is reshaping deal flow, strengthening domestic capital, and giving corporates access to sophisticated funding once available only offshore.

In the recent past, the Reserve Bank of India (RBI) has rolled out a series of reforms aimed at liberalising lending norms to ease lending to high-risk segments and generate cash flow. These steps have freed up significant bank capital, making lending cheaper and enabling banks to fund deals.

Some of the impactful regulatory developments include RBI (Commercial Banks – Credit Facilities) Amendment Directions, 2026, which permits banks to finance up to 75% of acquisition value, while ensuring prudence through a cap—total acquisition finance exposure cannot exceed 20% of consolidated net worth

of the bank¹. The RBI has also enhanced lending limits against shares, increased to ₹1 crore per individual, thereby opening avenues for more substantive securities-backed lending¹. Initial public offering (IPO) financing is now allowed up to ₹25 lakh, widening participation¹. A proposed removal of caps on lending against listed debt instruments is expected to significantly deepen credit markets. Project Finance

in regulatory philosophy, from restricting risk to managing it intelligently through Basel-aligned, risk-sensitive standards.

CREDIT LIBERALISATION

The timing of this credit reboot is deliberate. With capital markets maturing, infrastructure surging and consolidation accelerating, India needs deeper domestic capital to sustain its growth. The RBI's reforms respond to these

Greater liquidity and deeper participation enable more flexible capital formation, improving market resilience

Directions 2025 introduces life cycle-based risk frameworks and provides rational extensions in commercial operations, up to three years for infrastructure projects and two for non-infrastructure, acknowledging real-world project complexities.

These reforms mark a shift

shifts, enabling banks to deliver more sophisticated, higher-risk credit where it's needed.

Stabilising non-banking financial company (NBFC) funding channels, along with clearer consumer-credit classifications, has reduced funding stress and reopened bank lines to NBFCs,